Economy of Estonia (2)

In comparison to Latvia

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Comparison of Estonia & Latvia

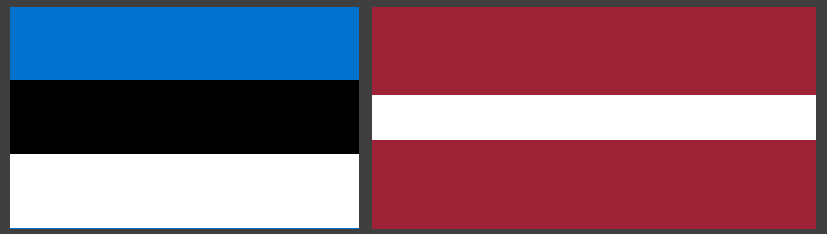
	Estonia	Latvia	European Union (Baseline)
Income	High Income	High Income	N/A
Population	1,344,768 (2022)	1,883,379 (2022)	447,956,050 (2022)
GDP	38.1 billion (2022)	41.15 billion (2022)	16.64 trillion (2022)
GDP per Capita	28,332.6 (2022)	21,851.1 (2022)	37,149.6 (2022)
Region	Baltic Europe	Baltic Europe	Multinational European Organization



World Bank – Data. Retrieved 10/31/23 from https://data.worldbank.org/?locations=EE-LV-EU

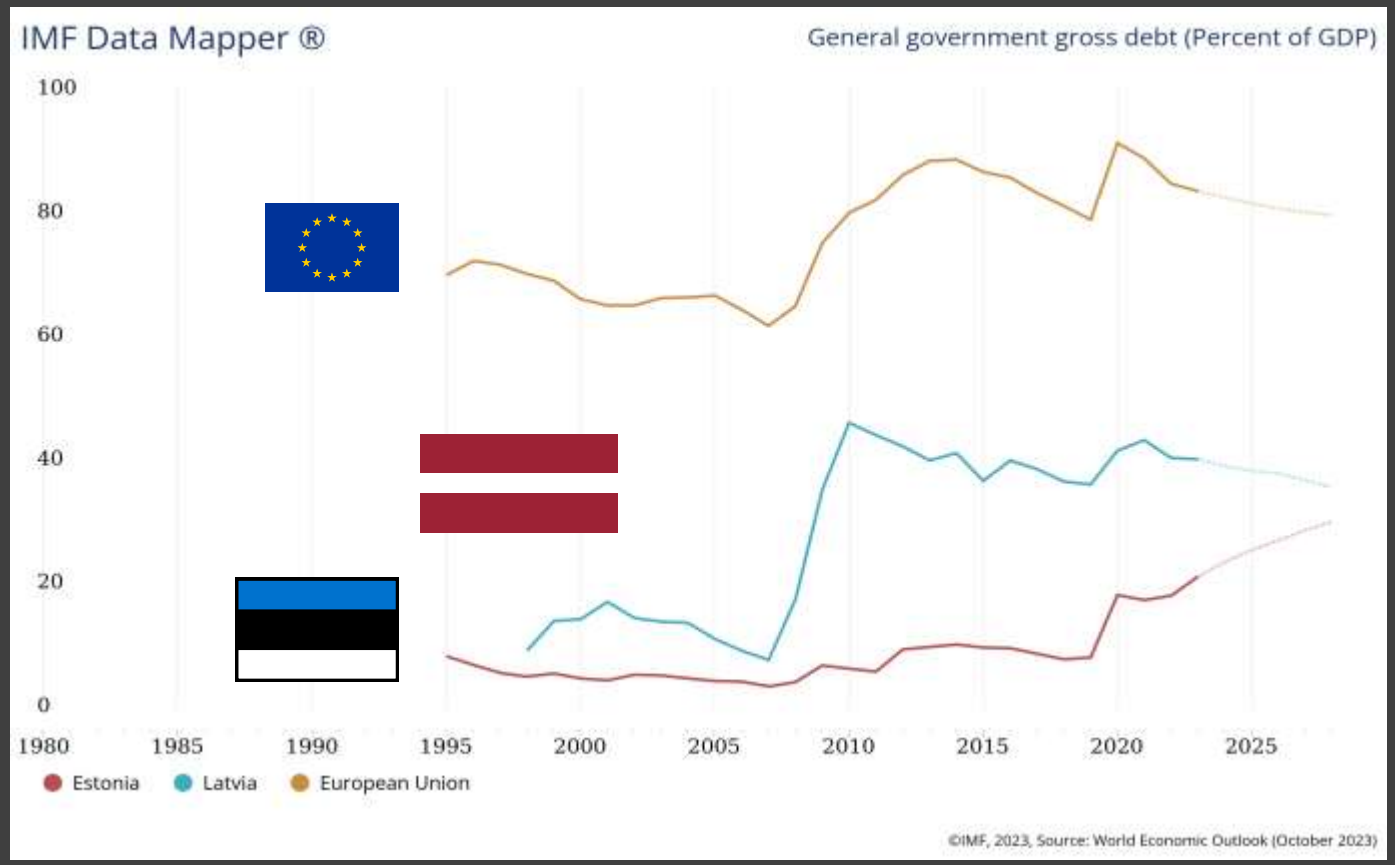
Economic Overview – Market & Entry

Estonia:	Latvia
• EU Member (Currency is the Euro) • Easy to establish corporation • No income tax on reinvested profits • Digital infrastructure (~99% of banking is online) • Highly open to foreign investment • Smaller Market/Population	• EU Member (Currency is the Euro) • Incentives offered for foreign investors • Saturated market and strong competition from European countries



USDC ITA – Estonia Country Commercial Guide. Retrieved 11/1/23 from https://www.trade.gov/country-commercial-guides/estonia-market-overview?navcard=12093
USDC ITA – Latvia Country Commercial Guide. Retrieved 11/1/23 from https://www.trade.gov/country-commercial-guides/latvia-market-overview

Debt to GDP



Estonia:

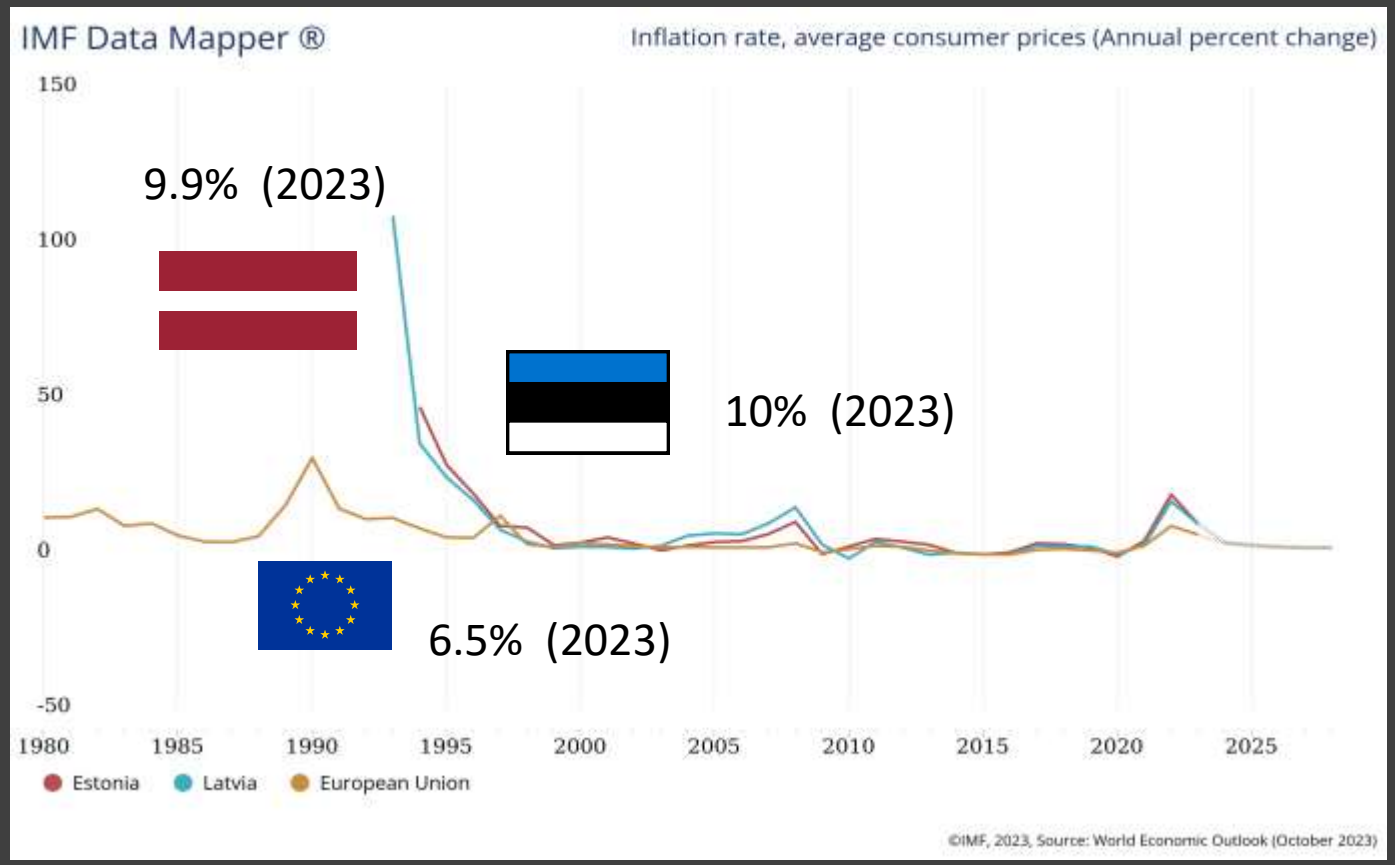
- Government takes on less debt
- Under European average
- Not as prone to large volatility (see 2008)
- Debt (to GDP) has risen the past 10 years

Latvia:

- Under European average
- Large debt taken
- Debt (to GDP) has shrunken the past 10 years

IMF– DataMapper. Retrieved 10/30/23 from https://www.imf.org/external/datamapper/GGXWDG_NGDP@WEO/EST/LVA/EU

Inflation Rate



Estonia:

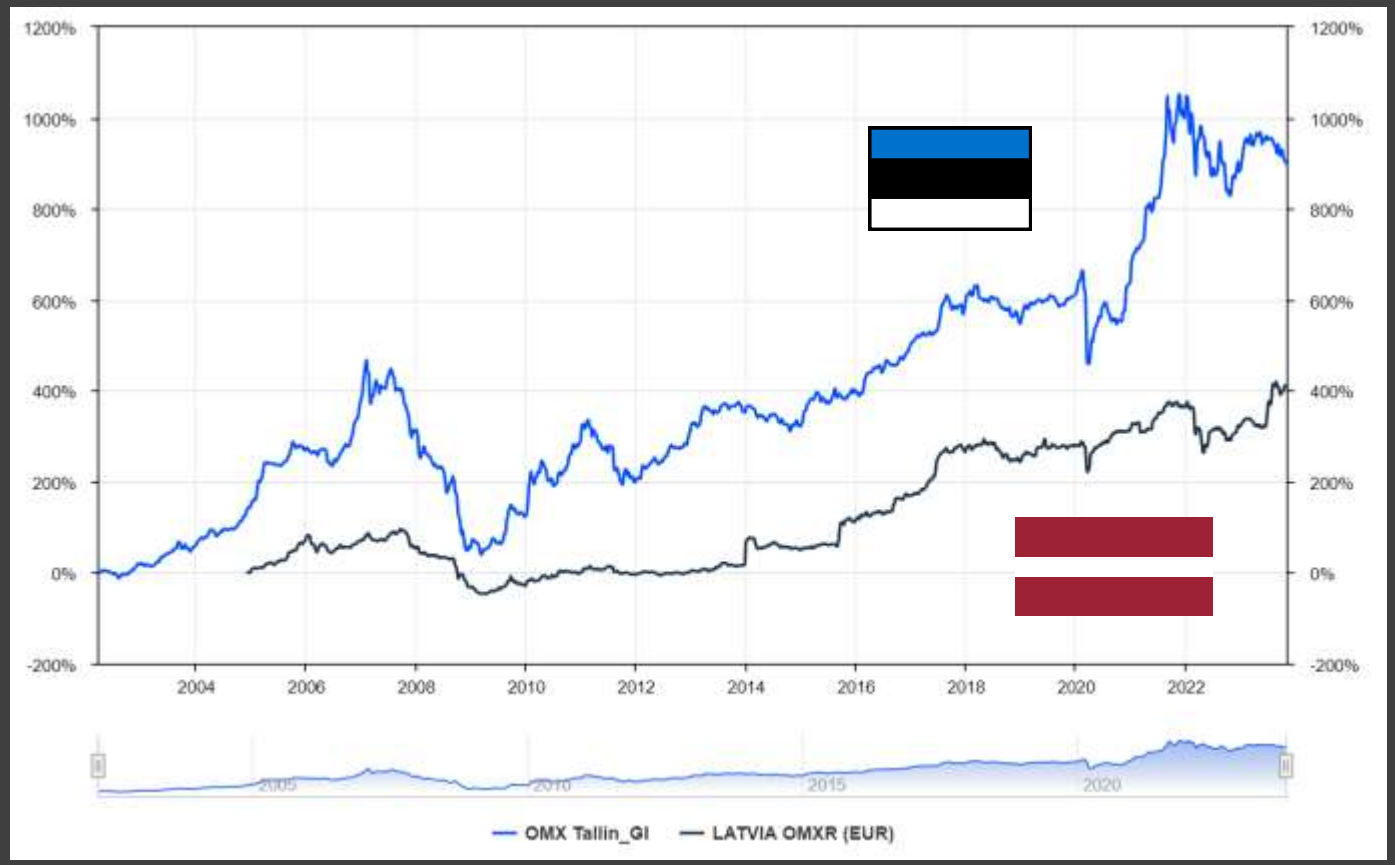
- Above EU Average
- Recent energy crisis and geopolitical events lead to sharp rise
- Downward trends occur
- Slightly better for businesses

Latvia:

- Above EU average
- Downward trends occur
- Slightly better for consumers
- Recent energy crisis and geopolitical events lead to sharp rise

IMF – DataMapper. Retrieved 10/30/23 from https://www.imf.org/external/datamapper/PCPIPCH@WEO/EST/LVA/EU

Stock Market



Estonia (OMXTGI):

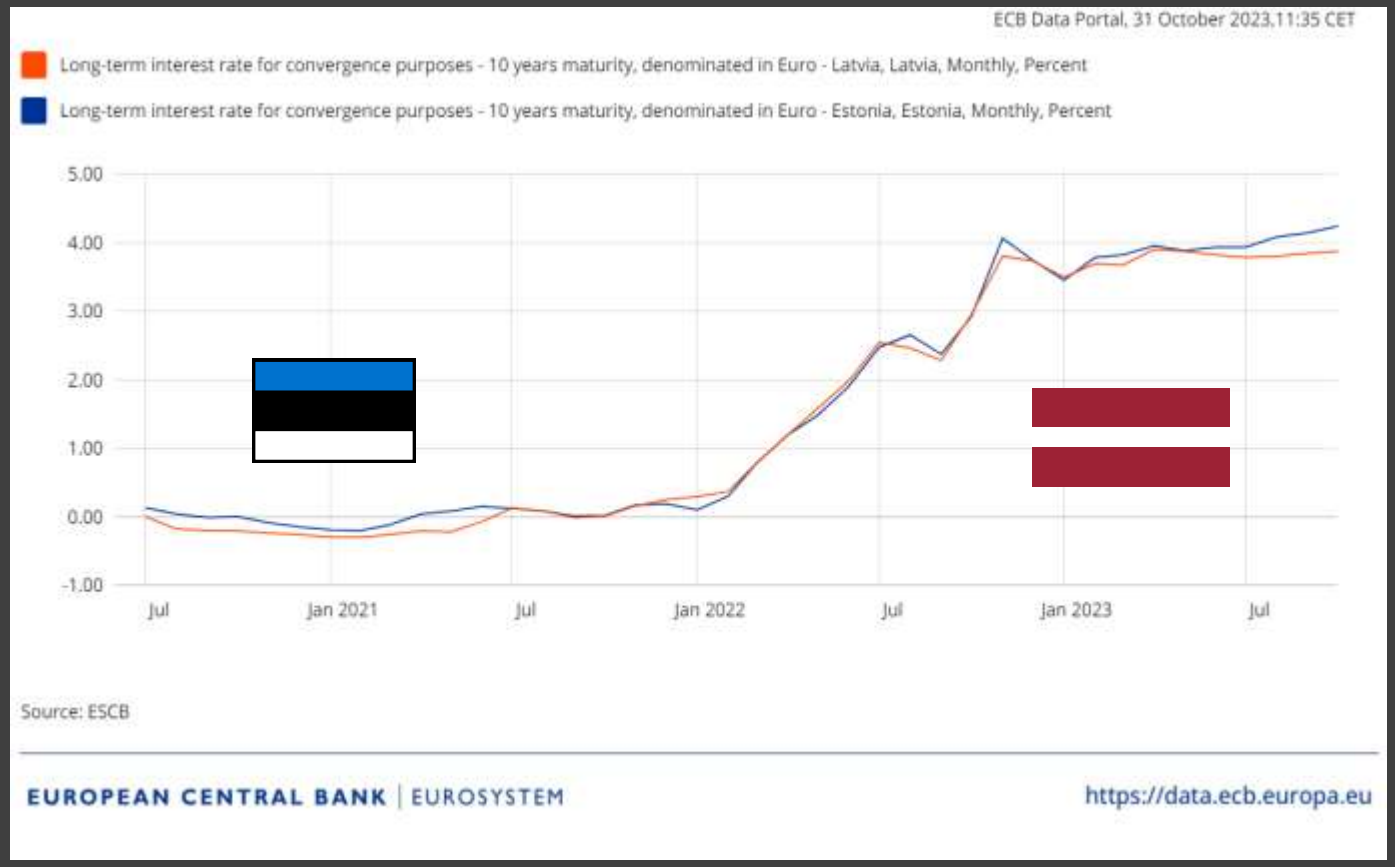
- Better Performing
- Longer track record (easier to compare negative trends)
- Rising interest rates caused recent downturns
- Tech giants (such as Bolt) created interest in the Estonian market

Latvia (OMXRGI):

- Newer Market
- Stagnant compared to Estonia
- Rising interest rates caused recent downturns

Market Screener- Ticker Comparison. Retrieved 10/31/23 from https://www.marketscreener.com/quote/index/OMX-TALLIN-GI-39464222/graphics-comparison/

Interest Rate



Estonia:

- Matched with EU Standards
- Raised to slow inflation rate
- Higher interest rate better for saving capital

Latvia:

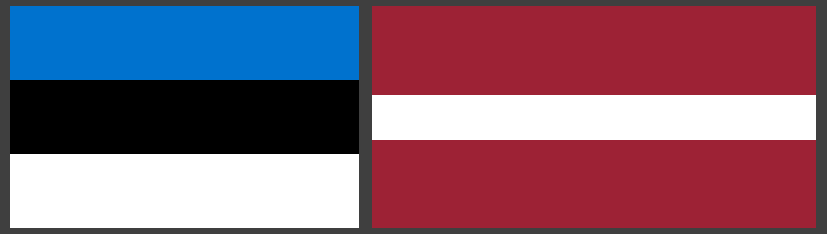
- Matched with EU Standards
- Raised to slow inflation rate

ECB – Data Comparison. Retrieved 10/31/23 from https://data.ecb.europa.eu/data-comparison/b916b044-c13a-447b-8703-2505918c1cd3

Credit Rating

Taking two most recent ratings from rating agencies	S&P		Moody's		DBRS	
	Feb 2020	Dec 2022	Previous	Recent	Previous	Recent
Estonia	AA-↑	AA- ↓	A1↓	A1	N/A	AA (low)
Latvia	A+	A+ ↓	Baa1	A3	A (low)	A

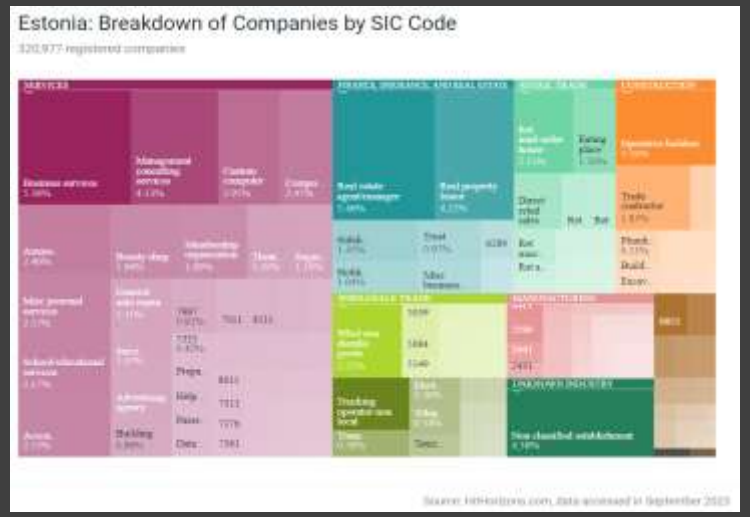
- Double Digit Credit rating (S&P)
- Negative Outlook (shown by the ↓)
- Investment grade



- Investment grade
- Negative Outlook (S&P)
- 2 grades below Estonia (Moody's)

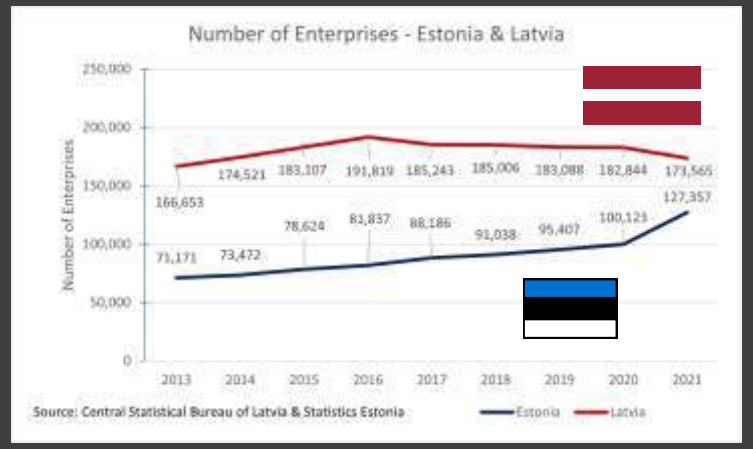
Trading Economics – Credit Rating. Retrieved 10/31/23 From https://tradingeconomics.com/country-list/rating

Industry Breakdown

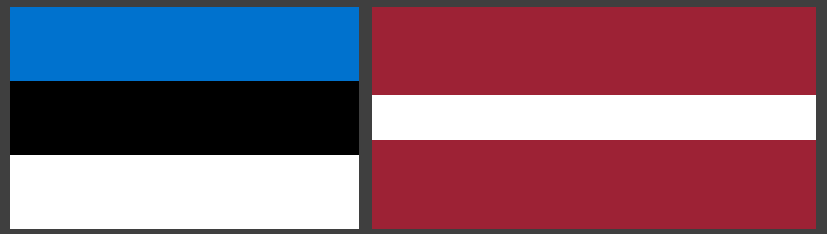


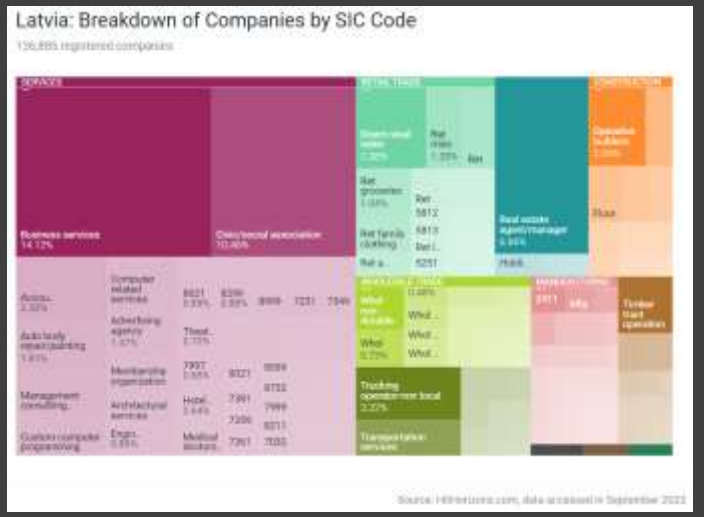
Estonia Sector Makeup

- Service Heavy Industry (45%)
- Better Diversified Industry



Number of Companies





Latvia Sector Makeup

- More Companies
- Service heavy (51.8%)
- Large sector of government services

Central Statistical Bureau of Latvia - Active Enterprises. Retrieved 10/31/23 from https://data.stat.gov.lv/pxweb/en/OSP_PUB/START__ENT__UZ__UZS/UZS020/table/tableViewLayout1/
Statistics Estonia - Number of Enterprises. Retrieved 10/31/23 from https://andmed.stat.ee/en/stat/majandus__ettevetete-majandusnaitajad__ettevetete-tulud-kulud-kasum__aastastatistika/EM001/table/tableViewLayout2
Hithorizons.com – Estonia Industry Breakdown. Retrieved 10/31/23 from https://www.hithorizons.com/eu/analyses/country-statistics/estonia
Hithorizons.com – Latvia Industry Breakdown. Retrieved 10/31/23 from https://www.hithorizons.com/eu/analyses/country-statistics/latvia

Companies

Estonia:	Latvia:
Bolt SELVER Hea mõte MANOIR ENERGY OLEREX Eesti Energia	Rimi ELKO GROW SMARTER Kreiss LATVIJAS VALSTS MEŽI KOKSNE • STĀDI • ATPŪTA Latvenergo LATVIJAS DZELZCEĻŠ Rīgas satiksme





Hithorizons.com – Estonia Industry Breakdown. Retrieved 10/31/23 from https://www.hithorizons.com/eu/analyses/country-statistics/estonia
Hithorizons.com – Latvia Industry Breakdown. Retrieved 10/31/23 from https://www.hithorizons.com/eu/analyses/country-statistics/latvia

Estonia SWOT Analysis



- Larger GDP per capita
- GDP has room to grow
- Government takes on less debt
- Debt Under European average
- Government doesn't take on large debt
- Government adept at controlling crises
- Inflation rates support business
- Better Performing market
  - Longer track record (easier to compare negative trends)
- Tech giants (such as Bolt) created interest in the Estonian market
- Interest rates matched with EU Standards and banks
- Higher interest rate better for saving capital
- Double digit investment grade credit rating
- Better Diversified Industry than Latvia

- Smaller overall GDP
- Debt (to GDP) has risen the past 10 years
- Inflation above EU Average
- Recent energy crisis and geopolitical events lead to sharp rise
- Rising interest rates caused recent downturns in market
- Interest rates raised to slow inflation
- Negative Credit Rating Outlook
- Service Heavy Industry (45%)

- Other European financial crises (due to interconnectivity)
- Attractiveness of better off Nordic states (Sweden, Finland, etc.)
- European regulations could create challenges
- Rising cost and inflation bad for growing

- Very Business friendly (especially to outside investment)
- European trade laws make it easy to expand
- Government consistently maintains a strong economy

USDC ITA – Estonia Country Commercial Guide. Retrieved 11/1/2023 from https://www.trade.gov/country-commercial-guides/estonia-market-overview?navcard=12093

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